



COUNTY OF SONOMA

575 ADMINISTRATION
DRIVE, ROOM 102A
SANTA ROSA, CA 95403

SUMMARY REPORT

Agenda Date: 12/10/2019

To: Sonoma County Board of Supervisors
Department or Agency Name(s): General Services
Staff Name and Phone Number: Caroline Judy, 707-565-8058
Vote Requirement: 4/5th
Supervisory District(s): All

Title:

Site Evaluation Criteria and Goals and Objectives for a New County Government Center

Recommended Action:

- A) Accept recommendations for site evaluation criteria for potential new County Government Center options. (Majority)
- B) Adopt a resolution approving budget adjustments to the FY 19/20 Budget in the amount of \$209,880, using Deferred Maintenance funds to cover staff time for Phase I Feasibility of the County Government Center project. (4/5th Vote Required)

Executive Summary:

The 1950's designed, sprawling County campus no longer serves the needs of our community nor does it represent the highest and best use of valuable property assets. The County administrative campus consists of 470,456 square feet of office space, not including the detention facility and the Sheriff's buildings. The cost of operating the entire property portfolio has grown as facilities have aged, increasing deferred maintenance obligations. As County government has grown over the sixty years since the County campus was designed, the lack of expansion options on the County campus has driven the need to lease commercial office space.

The County campus property was developed over the last 60 years with 10,000 square feet of building area per acre, less than one quarter of the available land is used for buildings. This inefficient land use prioritizes vehicle parking over the efficient delivery of services. Land could be better utilized through a redesign process potentially providing new office space, parking garage, housing, and/or revenue generating mixed-use office and retail spaces. Redesign of the County campus has been considered by the Board in prior actions and studies as an opportunity to improve service delivery as well as reduce operating expenses.

In June 2019, the Board authorized award of a technical advisory contract with Project Finance Advisory Limited (PFAL) to assist with pre-development planning activities. The Board has directed staff to consider multiple potential campus locations and options, including the current County campus, downtown Santa Rosa, and the Airport area. One of PFAL's tasks is to develop criteria to evaluate each site location, in order to provide an "apples to apples" comparison of each site for the Board's consideration.

This Board item presents recommended site evaluation criteria and provides a status update on the planning effort, including a summary from meetings with Board members, department heads, and bargaining groups.

Discussion:

The County of Sonoma provides critical services to residents, businesses and visitors. The buildings from which we provide those services have far outlived their useful lives and now impede our ability serve the public effectively.

Over the past ten years, the Board has invested in a number of studies and analysis of options for revitalizing the County government campus. On January 15, 2013, the Board accepted the *Sonoma County Real Estate and Financial Vision - Comprehensive County Facilities Plan*. The FY 13/14 Comprehensive County Facilities Plan (CCFP) determined that three quarters of the County's facilities on the main campus were beyond useful life, that space standards were lacking, and that average workstation sizes were significantly above industry standards. In addition, the CCFP concluded that 62% of the county's real estate costs were a result of lease expenditures, and that these costs were increasing as a result of campus space constraints. The Real Estate Master Plan portion of the CCFP recommended expanding neighborhood-based Health and Human services to improve the delivery of services to clients, but also recommended consolidating these departments' administrative functions. However, space constraints on the current County campus have prevented consolidation of such services' administrative functions.

On May 8, 2018, the Board accepted a report describing the business case for replacing County facilities. The report investigated several alternatives including catching up on deferred maintenance, status quo, new construction and leasing existing buildings. The cost of operating the property portfolio has grown as facilities have aged, and deferred maintenance obligations also have increased over time. Corrective maintenance needs are expected to increase significantly over the next twenty years. In the absence of significant changes, the long-term financial liability of deferred maintenance backlog will increase with annual cost escalation. To address the County's backlog of deferred maintenance within the next 20 years, it would need to invest \$25.3 million annually just to catch up with deferred maintenance.

The County has an opportunity and responsibility to invest taxpayer dollars in solutions that provide long-term value. Spending millions of dollars a year on short-term repairs that do not extend the life of the County Government Center's buildings, address seismic safety, or reduce the County's financial liability is ineffective. A new approach is needed to reduce risks to the County that result from over \$258 million in deferred maintenance. Your Board directed staff to prepare an RFP for consulting services to assist in development of plans for potential replacement of facilities or for relocation to alternative sites.

On June 4, 2019, the Board approved the Project Finance Advisory Limited (PFAL) consulting contract. The PFAL team includes highly-qualified consultants in financial advisory services, architecture and engineering, community engagement, site evaluation, and transportation. The contract services include financial analysis, site analysis for several alternative locations, developing a staff and community engagement plans and launching the same, and developing overarching goals for future development of new county facilities given input from the Board, department heads, and community stakeholders.

Per Board direction, staff have been collaborating with the City of Santa Rosa - as the City is similarly working to identify potential sites for new facilities. As such, PFAL and staff are considering three potential locations for evaluation: existing County Campus, downtown Santa Rosa, and Airport. There are three downtown sites are under consideration by the City, which could potentially also serve the County. These three sites include the existing civic center site, the library site, and a site at 3rd and E streets.

Phase I of Site Evaluation - Collecting Feedback

PFAL's first step in for conducting site evaluations has been to understand the broad aspirational goals of the Board of Supervisors, County Department Heads, and labor representatives, and to validate the high-level programming assumptions originally captured in the 2014 Comprehensive County Facilities Plan (CCFP). These goals help inform the desired site attributes and selection criteria. Initial meetings have also been held with bargaining groups representing County employees. Industry surveys conducted in the summer of 2018 support the methodology of identifying broad goals and site location prior to launching development proposal activities.

As part of the initial site evaluation phase, meetings were scheduled with PFAL, County staff, and each member of the Board of Supervisors. Questions were asked regarding:

- Key concerns for development
- Public perception
- Importance of sustainability
- Location and site considerations
- Aspirational goals
- Key community groups to include in outreach efforts.

The project team also engaged with County Department Heads and labor representatives. All labor groups were invited to an introductory meeting on September 17, 2019. Department Heads were interviewed, and completed a survey on space needs. A number of County Department Heads also participate in the County Government Center Steering Committee, and regular updates are provided at to all Department Heads at monthly Department and Agency Head Association meetings.

Several common goals emerged from all of the interviews. These include the need to:

- A. Move rapidly to avoid further design and construction cost escalation, and to stem continued expenditures in failing building systems.
- B. Improve access for constituents seeking services.
- C. Create a well-defined business-case that demonstrates the value and long-term benefit to County taxpayers.
- D. Design for flexibility for future uses or expansion needs.
- E. Ensure fiscally-responsible design and construction of any new facilities.

PFAL also engaged Departments to validate information gathered previously during the 2014 CCFP. This validation process included surveying departments to ensure that staffing projections and existing headcounts were accurate, and that unique needs for specialized spaces were captured. During interviews Department Heads echoed the Board's concerns and goals including: operating costs, the convenience of services for the

public, and employee considerations such as access to parking and transit alternatives.

Obtaining community and stakeholder engagement will remain on-going and continue to inform and augment the analysis to be performed in subsequent planning phases and provide additional opportunities for further input from Board members, Department heads, labor representatives, employees and the community.

Phase II of Site Evaluation - Development of Criteria

The second step in site evaluation is to develop criteria that will be used to evaluate opportunities at each of the sites under consideration. Based upon input received to-date and best practices, the team created three categories of evaluation criteria: Service, Affordability and Cost, and Design and Opportunities. Staff are recommending that Service and Affordability and Cost each be considered 40% of the total available points, and Design and Opportunities are considered at 20%.

Each of the three broad categories include a list of subcategories, which are standard considerations used within the real estate development industry. Each subcategory will be evaluated based upon available data and scored either high, medium or low. Not all of the sub-categories have equal weight within the scoring. As a result staff recommend dividing the subcategories into either A-level or B-level categories. A-level criteria will have a possible score of 3 points for high, 2 points for medium, and 1 point for low. B-level criteria will have the possible score of 1.5 points for high, 1 point for medium, and ½ point for low. Each site will be scored based on the recommended criteria and weighting as identified in Attachment C: Site Evaluation Rubric, and the results will be presented for discussion at an upcoming Board meeting. It is possible that other criteria not explicitly identified herein may emerge and may also need to be considered as part of the evaluation process.

Board direction on the proposed site evaluation criteria and scoring rubric will help guide staff in further consideration of the merits of each site.

Budget Resolution

Prior Board actions have provided funding for the PFAL contract, County Counsel and County Administrator direct bill hours. Funding was identified in the Facilities Improvement/Deferred Maintenance Fund to cover staff time associated with Phase 1 of the project, and today's Board action will transfer those funds to General Services. Preliminary cost projections estimated 488 hours of staff time, equaling \$68,320, for Phase 1 of the project. However, prior estimates did not anticipate the amount of detailed archival research, significant staff time scheduling and staffing separate department meetings as opposed to group meetings, and additional work needed on the space needs validation and engagement portions of the project. As a result, staff time projections have increased to 1,272 hours, equaling \$209,880. The County Administrator has set aside sufficient funding in the Deferred Maintenance Fund to support County Center project activities in the current fiscal year, including these staffing costs.

Next Steps

The team will collect technical data on each of the sites including the existing County Government Center, the two sites offered by the City of Santa Rosa and potential sites in the airport area. The data will be evaluated against the aforementioned site evaluation criteria and weighting, and a summary of all sites and the data outcomes will be generated so that all alternatives and options may be understood. Staff will then provide a recommendation based upon the site(s) that best meet the criteria. The results of the site evaluation process

are scheduled to be provided to the Board for review and discussion in mid-March 2020. Once your Board has provided direction on the desired location, then staff and consultants will begin work on collecting site information and analyzing the chosen site for recommendation and financial analysis.

Notwithstanding PFAL's conclusions and recommendations regarding site criteria, appropriate environmental analysis will be conducted accordingly if and when planning proceeds to subsequent phases and when more meaningful information sufficient for environmental assessment is available.

Alternative Option

Should the Board determine that investing in the staff time and resources required to evaluate multiple sites is not an optimal approach, then direction could be provided to staff to proceed with consideration of the County Center campus site as the preferred alternative. Doing so would enable staff to shorten the current Phase I tasks by 60 days and proceed to the financial and procurement analysis. Staff would work with PFAL to prepare a funding and risk analysis and financial feasibility analysis presentation for the Board. The preferred alternative of the County Center site would only be selected if the Board determined the project financially feasible at a future Board meeting.

Alternatively, the Board may wish to consider alternative site evaluation criteria or weighting, and provide direction to staff to modify the site evaluation rubric accordingly and proceed with consideration of multiple sites as identified herein.

Prior Board Actions:

June 4, 2019 - Board approved recommendation for Technical Advisor

January 29, 2019 - Board directed staff to solicit and select a Technical Advisor

May 8, 2018 - Board directed staff to prepare a Request for Information Survey

June 24, 2014 - Comprehensive Facilities Condition Assessment Plan Update

January 15, 2013 - Comprehensive County Facilities Plan

April 7, 2009 - County Administration Center Site Evaluation and Opportunities Analysis

FISCAL SUMMARY

Expenditures	FY 19-20 Adopted	FY20-21 Projected	FY 21-22 Projected
Budgeted Expenses			
Additional Appropriation Requested	\$209,880		
Total Expenditures	\$209,880		
Funding Sources			
General Fund/WA GF			
State/Federal			
Fees/Other			
Use of Fund Balance	\$209,880		

Contingencies			
Total Sources	\$209,880		

Narrative Explanation of Fiscal Impacts:

Previously the Board approved \$300,500 in the FY 19/20 Capital Budget for the PFAL consulting contract and \$110,000 from Deferred Maintenance for County Administrator and County Counsel time associated with Phase I activities. General Service' staff time was not included in those funding transfers. Assuming the Board wishes to proceed with evaluation of the three potential sites, General Services anticipates needing \$209,880 of available Deferred Maintenance funds for project management activities. This amount reflects an increase from previous staffing estimates due to unforeseen archival research needed to support program validation, individual department meetings versus group meetings, and additional space needs and outreach activities. The County Administrator has set aside sufficient funding in the Deferred Maintenance Fund to support County Center project activities in the current fiscal year, including these Phase 1 staffing costs.

Completion of Phase 1 includes the remaining tasks for site evaluation, CCFP validation, financial feasibility analysis, procurement option evaluation, and summary conclusions. Should the Board wish to consider an alternate action to direct staff to consider the County Center campus only, this would reduce the consulting effort and staff time associated with evaluation of multiple sites with corresponding savings.

Moving forward, if the Board authorizes staff to proceed to Phase 2 of the project, RFQ/RFP development, it is anticipated that additional funding of \$230,450 will be required. This includes \$93,650 for staff time, including CEQA staffing, and \$136,800 for the technical advisor. Based upon case studies of other similar large scale multi-year campus development projects, Phase 2 is anticipated to take 24 weeks. Phase 3, where an exclusive negotiation agreement (ENA) is negotiated, may require up to 50 weeks and \$1.6 million additional funding. This includes \$153,300 for staff and County Counsel costs, \$570,000 for the technical advisor, and \$877,500 for outside counsel.

The final design and construction phase, Phase 4, is anticipated to take 156 weeks and require \$3.1 million. This includes \$125,300 for staff and County Counsel costs, \$345,800 for the technical advisor, \$1.6 million for outside counsel, and \$1 million for CEQA. Costs in Phases 3 and 4 may be amortized into the development agreement if the Board ultimately decides to move forward with the project. Additional community engagement efforts will be needed to coincide with the final phases of the project and could cost roughly \$450,000. These cost estimates are preliminary and provided to give a sense of scale to the overall project costs should the Board wish to proceed.

Staffing Impacts:			
Position Title (Payroll Classification)	Monthly Salary Range (A-I Step)	Additions (Number)	Deletions (Number)

Agenda Date: 12/10/2019

Narrative Explanation of Staffing Impacts (If Required):

None

Attachments:

Attachment A - Presentation

Attachment B - Budget Resolution

Attachment C - Site Evaluation Rubric

Related Items “On File” with the Clerk of the Board:

None